One common experience was capital and time overrun. This created serious strains for companies, undermining their viability and original assumptions. Also, additional finance had to be provided. This proved to be almost a universal experience even when some contingency was provided for from the start. ICICI's experience also showed that about 30 percent of the cost of a project was intangible. This was something applicants, often, overlooked—for example, interest during construction, overheads and so on. In several cases, the final cost of the project was double the original. However, prices were also rising and in time such projects also became profitable.

ICICI's overall experience was a mixed one. While its operations grew and were generally profitable, it had to provide for losses and make adequate provision out of its profits for bad and doubtful debts. Development financing carries with it greater risk than normal. Development banks are known to be profit-making but their primary target is development, notwithstanding the greater financial risks. Sickness in industry is a fact of life and ICICI dealt with such cases with a great deal of ingenuity. It made a special study of sick cases and S. Kumarasundaram, one of its senior managers who started out as an economist with RBI and rose to become Joint Managing Director of ICICI, wrote an excellent monograph on the subject in which he lucidly brought out ICICI's efforts to rehabilitate sick units which were financed by it. Parekh reminisced that during the course of ICICI's operations the partial writing off of interest and even of the debt itself, amalgamations, mergers, change of management, resistance to change of management were common occurrences. 'A development banker has to spend more and more time on sick units. He knows that sickness can be temporary or chronic and also fatal. Where the entrepreneurs, themselves, were a group of promoters with differing backgrounds, that was an additional uncertainty and risk, because such partnerships soon break up and, even when the project was under construction, they quarreled among themselves, which adversely affected the project.'[41]

As noted before, IDBI was formed in 1964 as a government agency through the RBI. Before that the Refinance Corporation of India was set up to provide refinance to commercial banks on their medium-term lending. After some years, this institution was merged into IDBI. IDBI became the